Agent-based Diamond–Dybvig with Cultural Heterogeneity

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Walter Stover · George Mason University · 26 October

The puzzle: who runs?



CryptoSlate, 12 October 2026, on the Financial Stability Board's note to the G20. Screenshot, cryptoslate.com.

Who runs? Luck of the draw, and location

Variation in the signal

- Goldstein–Pauzner: every depositor gets a noisy draw of the same signal
- The draw breaks common knowledge and selects the equilibrium
- Who runs: whoever drew low
- Everyone decides at once, so there is no first

Variation in location

- Networks and media decide who hears what, from whom, when
- Kelly–Ó Gráda, Iyer–Puri, Cookson et al.
- Who runs first: whoever sits nearest the source

Who runs? Variation in interpretation

When there are two signals, which signal does a depositor act on, and in what proportion?

Silicon Valley Bank's shares are tanking as a mess unfolds

Venture firms are advising portfolio companies to move money out of SVB

VCs are advising startups to generally keep no more than $250,000 in SVB checking accounts.

TechCrunch

Given recent banking-related carnage in the tech and tech-adjacent worlds, there's concern in the market that not all is well at SVB. Company CEO Greg Becker said in a call with venture clients that their assets are safe and that the stock sale was announced as an attempt to increase financial flexibility, strength and profitability at the bank.

Becker said the bank has "ample liquidity" to support its clients "with one exception: If everybody is telling each other that SVB is in trouble, that will be a challenge." The executive asked VC clients to "stay calm. That's my ask. We've been there for 40 years, supporting you, supporting the portfolio companies, supporting venture capitalists."

TechCrunch, 9 March 2023. Screenshot, techcrunch.com.

Cultural economics: a source of stable weights

Transmitted weights. Cultural values pass largely unchanged from parents to children (Guiso, Sapienza, Zingales; Bazzi et al.).

Individualism as self-reliance against deference to the group (Hofstede) is the private-against-social weighting the model already contains (Gorodnichenko–Roland).

Measurable per depositor. Given names carry it (Twenge et al.), so we can observe the weight instead of assuming it.

The model: one weight on two signals

$$\hat{s}_i = \lambda_i \cdot y + (1 - \lambda_i) \cdot x_i$$

Individualists $\lambda_I < \lambda_C$ **collectivists**

$$\hat{s}_I - \hat{s}_C = (\lambda_C - \lambda_I) \cdot (x - y)$$

The model in one picture

Entities and state variables

Depositors (N = 1,000)

deposit $d_i \sim$ LogNormal(1, σ), capped at 1% of D
type I or C; weight $\lambda_I < \lambda_C$
private signal $x_i = \theta + s\,\varepsilon_i$
balance left; withdrawn or not

Social network

Newman–Watts small world (k, p): each depositor sees the share of its neighbours who have withdrawn

Bank

deposits D in total; reserves rD held as cash
long asset $(1 - r + e)D$; e = equity per unit of D
sold at $1 - \delta$ per unit if cash runs short
returns $R(\theta) = 1 + 0.4\,\theta$ at period 2
promises R_{stay} per unit left in

Environment

fundamental $\theta \sim$ U[0, 1], one per run
public signal y: none, stale (y_0),
tracks θ, or corrects (ρ per tick)

Process schedule (one run)

1 Cultural warm-up

Flache–Macy dynamics on the network; the top μ become individualists (I), the rest collectivists (C)

2 Draw the run's world

θ; each depositor's x_i; the public signal y_1

3 Exogenous shock

a random set of depositors withdraws everything

4 Tick loop

banked depositors, in random order

a Observe

neighbours' withdrawals; public y_t

b Form beliefs (λ on others)

$\hat{s}_i$, its estimate of θ: $(1 - \lambda)\,x_i + \lambda\,y_t$
runs: $(1 - \lambda)$ own prior + λ neighbours

c Value by Monte Carlo

stay: period-2 payoff on the balance left in
withdraw: a fraction f ∈ {0, ¼, ½, ¾, 1},
paid now, after any fire sale

d Act

withdraw the best f; if cash is short,
the bank sells the long asset at $1 - \delta$

↻ next tick, while anyone withdrew

5 Period 2

liquidity failure if cash ran out mid-run; else the bank fails if cash + long asset at $R(\theta)$ < promises

6 Record

failure type; who ran by type (W_I, W_C; D and D$); timing by tick; size deciles; partial withdrawals

Individualists and collectivists: who listens to whom

Individualists

- Trust their own information about the bank
- Put little weight on what neighbours do or on public news
- Weight on the social side: λ = 0.1 to 0.3
- Act on what they see themselves

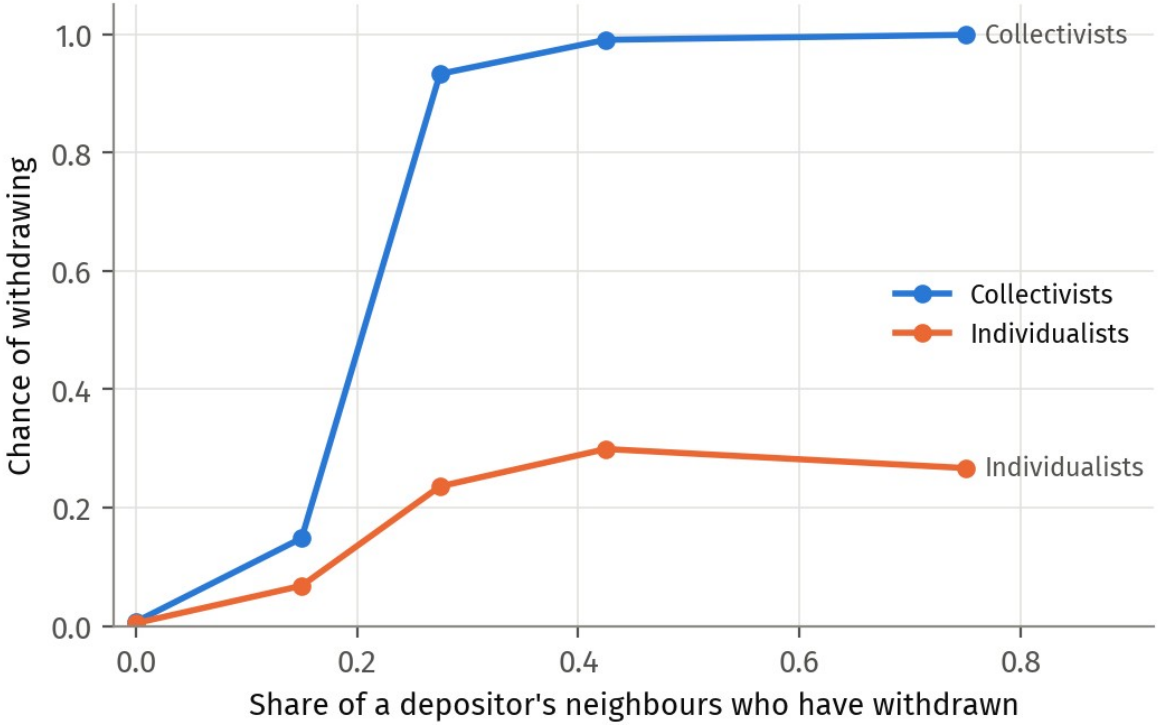
Collectivists

- Watch what neighbours do and what the public news says
- Put little weight on their own information
- Weight on the social side: λ = 0.5 to 0.9
- Move when others move

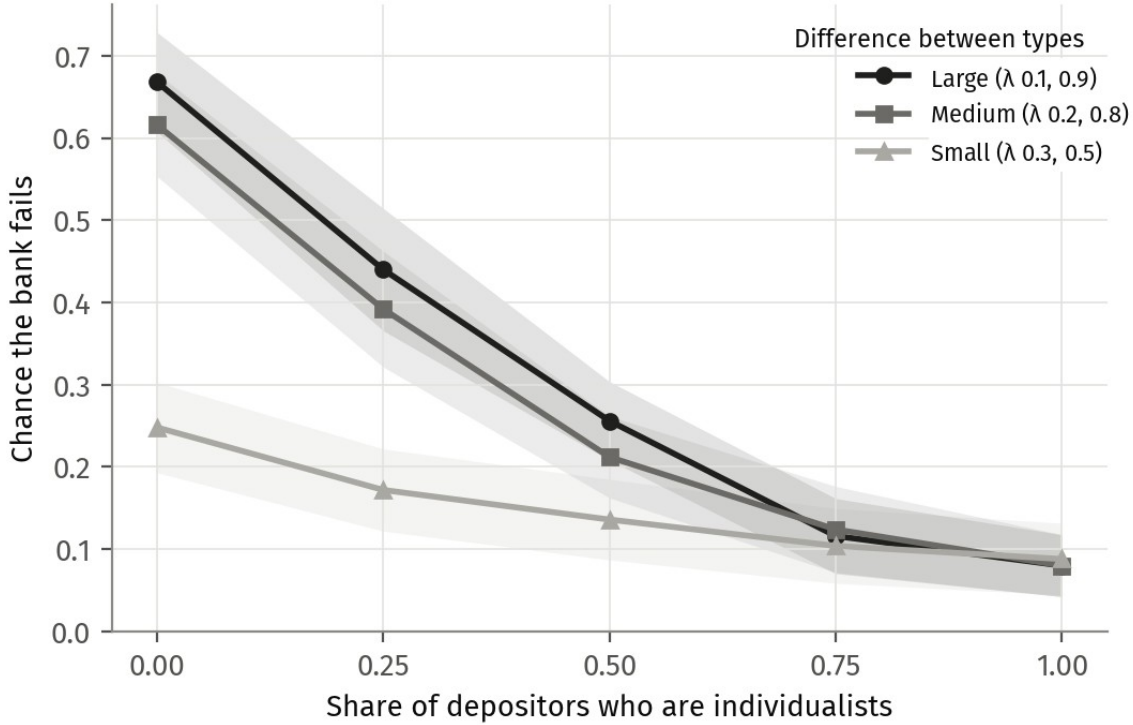
(0.1, 0.9) wide gap **(0.2, 0.8)** medium **(0.3, 0.5)** narrow

Signal interpretation gap

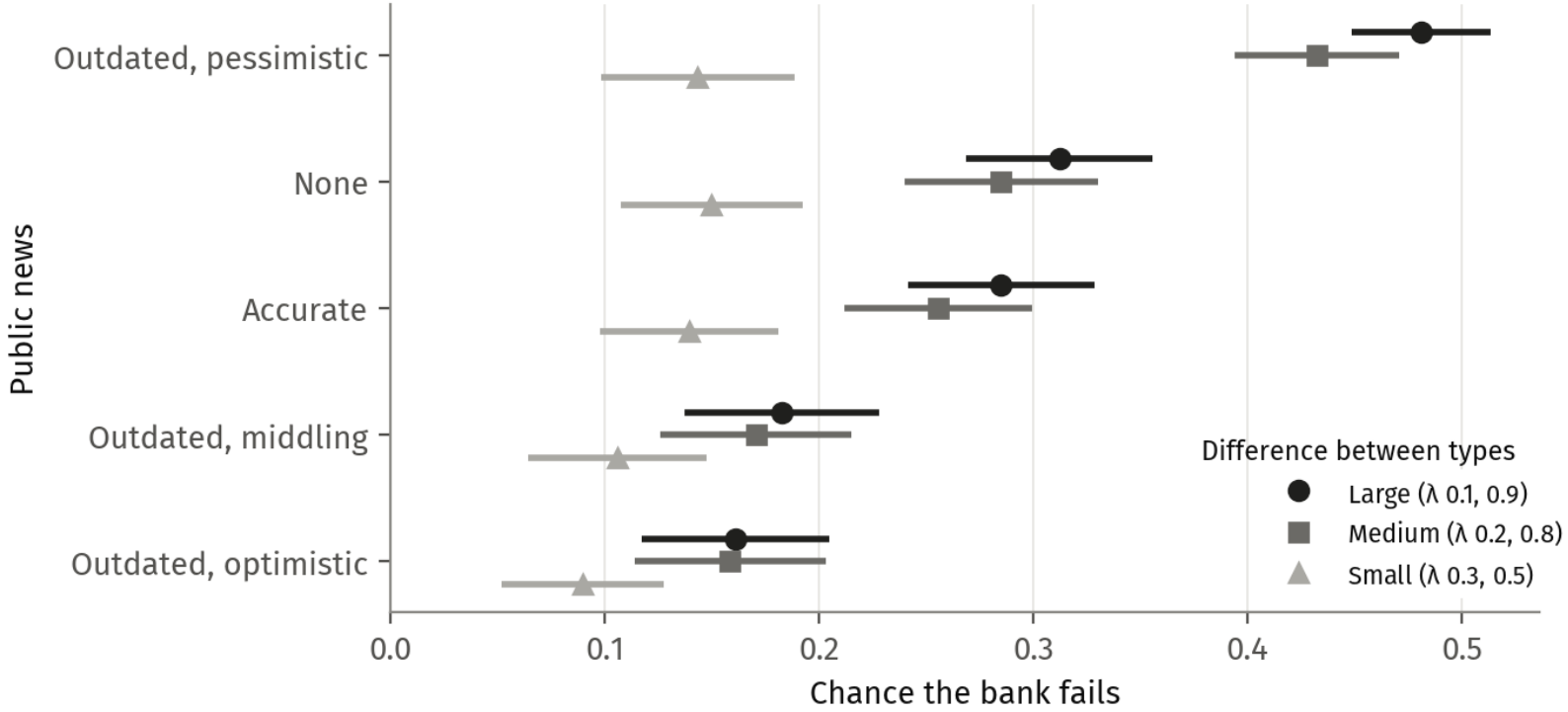
Collectivists herd



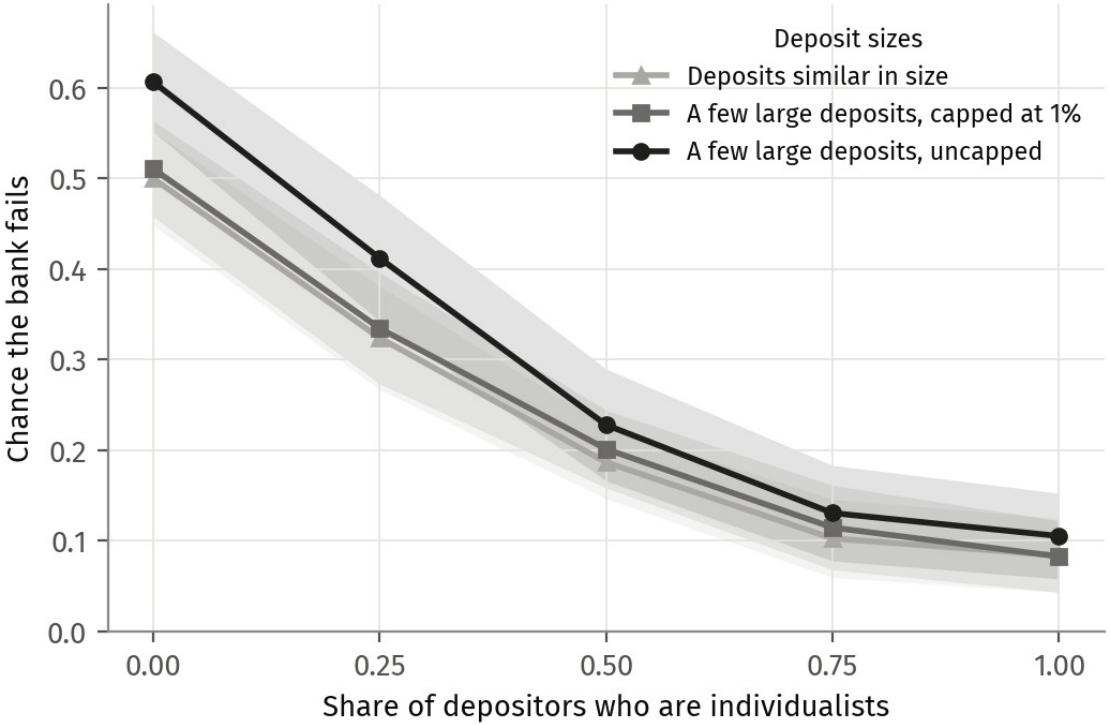
More individualists, fewer failures



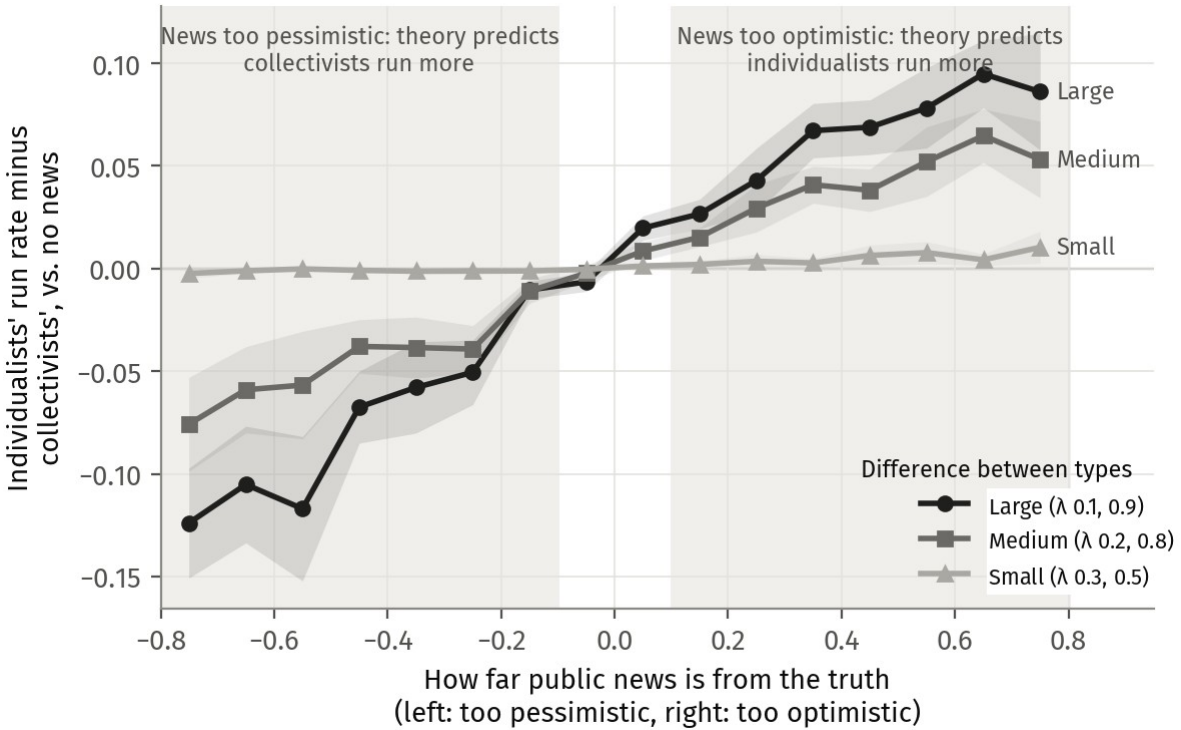
Outdated news cuts both ways



Varying the deposit-size distribution



Does the model hold up?



Takeaways and next steps

1: Sorting follows the news	Optimistic public news makes individualists run relatively more; pessimistic news, collectivists.
2: Collectivists herd	Their chance of withdrawing jumps from 0.15 to 0.93 once 20–35% of neighbours are out; individualists level off near 0.3.
3: More individualists, fewer failures	P(fail) falls from 0.67 to 0.08 as the individualist share goes from 0 to 1.
4: Stale news cuts both ways	A stale optimistic signal halves failure, a stale pessimistic one raises it by half. Accurate news barely moves it.
5: Capping the largest deposits	A 1% cap brings failure down to the no-concentration bank's level; the culture gradient is unchanged.
6: Not yet matched	How large depositors exit in real runs.